

CAIIB BFM Module A: Units 1-2 Heuristics

Exchange Rates & Forex Business + Liberalized Remittance Scheme

UNIT 1: EXCHANGE RATES & FOREX BUSINESS

Core Principle

Banks never quote losses to themselves.

Key Vocab (Minimal)

Spot Rate = Exchange rate for T+2 settlement (today's rate)

Forward Rate = Rate locked today for future delivery (30/60/90/180 days)

Bid Rate (first number) = Bank BUYS from customer (lower, bad for customer)

Ask Rate (second number) = Bank SELLS to customer (higher, bad for customer)

Spread = Ask - Bid = Bank's profit

Forward Premium = Forward Rate > Spot Rate (market expects home currency to WEAKEN)

Forward Discount = Forward Rate < Spot Rate (market expects home currency to STRENGTHEN)

The Heuristic

"Bid-Ask Spread + Margin = Bank Always Wins"

When customer needs forex: - If money moving OUT (exporter, remitter): Bank uses BID rate - margin deduction → customer gets LESS - If money moving IN (importer, receiver): Bank uses ASK rate + margin addition → customer pays MORE

Formula (don't memorize, understand the logic):

TT Buying Rate (exporter remitting OUT) = Bid Rate - (Bid × Margin %)

TT Selling Rate (importer paying OUT) = Ask Rate + (Ask × Margin %)

Why? Bank captures commission both ways.

Decision Tree for Unit 1 Questions

Q: What rate does customer get?

- A) Money moving OUT (remitting/exporting)?
 - Use BID rate (lower) - Margin
 - Customer gets LESS rupees per dollar
 - Eliminate options that use Ask rate
- B) Money moving IN (importing/receiving)?
 - Use ASK rate (higher) + Margin
 - Customer pays MORE rupees per dollar
 - Eliminate options that use Bid rate
- C) Forward premium/discount?
 - Forward > Spot = Premium (exporter wins, importer loses)
 - Forward < Spot = Discount (importer wins, exporter loses)
 - Match question intent to answer
- D) Cross-rate (SGD to INR)?
 - Multiply step-by-step (SGD→USD→INR)
 - Each step has margin = final rate worst for customer
 - Answer is NOT simple average

Example Application

Q: Spot USD/INR = 83.50/83.60, Margin = 0.10%. NRE customer remits USD to overseas. What TT Buying rate?

Using heuristic: - Customer: NRE remitting OUT - Rate type: TT BUYING - Logic: Use BID (lower) - margin - Math: $83.60 - (83.60 \times 0.10\%) = 83.5165$ - Answer: 83.5165 ₹

Gotchas

1. **Higher INR/USD = rupee WEAKING (not strengthening)**
 - 82→83 per USD = rupee lost value
 - Bad for importers, good for exporters
 2. **Forward premium ≠ “currency will depreciate”**
 - It’s a market signal + interest rate differential
 - Exporter locking premium = protection + bet that rupee weakens
 - If rupee strengthens instead, exporter loses the hedging fee
 3. **Margin is ALWAYS deducted from customer benefit**
 - Never added to customer’s advantage
 - Bank always extracts
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UNIT 2: LIBERALISED REMITTANCE SCHEME (LRS)

Core Principle

RBI wants to liberalize small remittances (USD 250K) but control large/business ones.

Key Vocab (Actual Facts)

LRS Limit = USD 250,000 per financial year (April-March)

Eligible Purposes = Education, travel, medical, gifting, investment abroad

Ineligible Purposes = Business, loan repayment to foreign entities

Approval = Self-declaration (no RBI individual approval needed within limit)

Any Bank = Authorized dealer (any bank can process, no RBI pre-clearance)

The Heuristic

"LRS = Pre-Approved Remittance Bucket (USD 250K/FY)"

IF remittance USD 250,000 per FY

AND purpose is personal (education/travel/medical/gifting/investment)

THEN instant approval via self-declaration

AND bank processes immediately

AND no RBI individual approval needed

IF remittance > USD 250,000 per FY

OR purpose is business/loan-repayment

THEN needs formal RBI approval

AND goes into slow lane (scrutiny)

Decision Tree for Unit 2 Questions

Q: What's the question asking?

A) "Can resident remit USD X?"

→ X 250K + personal purpose? YES (instant, self-declaration)

→ X > 250K? NO (needs RBI approval)

→ X = business purpose? NO (ineligible)

B) "What approval needed?"

→ Within LRS? None (self-declaration)

→ Outside LRS? RBI formal approval

→ Business? RBI approval (not eligible for LRS)

- C) "Same FY or new FY?"
→ April-March = 1 FY
→ If January remit 250K, then July remit another 250K?
→ Different FY = fresh 250K bucket = ALLOWED
- D) "Who processes?"
→ Any authorized dealer (bank)
→ No RBI individual clearance (if within LRS limit)
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Example Applications

Q1: Resident remits USD 150K for daughter's education abroad. Approval? - Logic: $150K < 250K + \text{education} = \text{eligible}$ - Answer: Self-declaration only (instant) ☑

Q2: Resident remits USD 250K in January. In July wants USD 50K more. Allowed? - Logic: January (FY1) + July (FY2) = different FY - Answer: YES (fresh 250K bucket in new FY) ☑

Q3: Resident wants to remit USD 300K for business venture. What approval? - Logic: Business purpose = ineligible for LRS - Answer: Formal RBI approval (not self-declaration) ☑

Gotchas

1. **LRS is per PERSON, per FINANCIAL YEAR**
 - Not per account, not per day
 - New FY = fresh limit
 2. **"Personal investment abroad" IS eligible**
 - But not business
 - Resident buying property overseas = eligible under investment
 - Resident starting business overseas = ineligible
 3. **Loan repayment to foreign entities = ineligible**
 - Even if personal loan
 - RBI controls this
 4. **Self-declaration ≠ no documentation**
 - Still need KYC, purpose proof, source of funds
 - But NO RBI pre-approval needed
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Units 1-2 Combined: The Meta-Pattern

Both units follow the same incentive logic:

RBI + Banks want to: - Liberalize small, personal, low-risk flows (forex, remittances) - Control/scrutinize large, business, high-risk flows - Capture value via spreads + margins (banks) - Maintain forex management oversight (RBI)

In exam questions: - Small legitimate transactions = instant, fewer options - Large/business transactions = approval needed, more complexity - Margin/spread = always captured from customer - Customer = always gets worse rate than interbank

Quick Test Yourself

Unit 1: Spot 82/83, Margin 0.05%. Importer buys USD to pay supplier. Rate? - Answer: $83 + (83 \times 0.05\%) = 83.04$ (ASK + margin)

Unit 2: Resident remits USD 180K in July for medical treatment. Approval? - Answer: Self-declaration (within 250K + eligible purpose)

Ready for Unit 3? Just say “Unit 3” and we’ll extract Correspondent Banking + NRI heuristic.